

Member ID: \_\_\_\_\_

Time: \_\_\_\_\_

Rank: \_\_\_\_\_



# BANKING & FINANCE (145)

## NATIONAL 2025

|                                                              |                                    |
|--------------------------------------------------------------|------------------------------------|
| <b>Multiple Choice:</b> (30 @ 2 points each)                 | _____ (60 points)                  |
| <b>Financial Word Problems:</b> (8 @ 3 points each)          | _____ (24 points)                  |
| <b>Rule of 72:</b> (5 @ 2 points each)                       | _____ (10 points)                  |
| <b>Compound Interest:</b> (12 @ 2 points each)               | _____ (24 points)                  |
| <b>Checkbook Register:</b> (61 @ 1 point each, 1 @ 5 points) | _____ (66 points)                  |
| <b><i>TOTAL POINTS</i></b>                                   | _____ ( <b><i>184 points</i></b> ) |

**Test Time: 60 minutes**

**GENERAL GUIDELINES:**

*Failure to adhere to any of the following rules will result in disqualification:*

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

The test is divided into two parts, and you **MUST** complete both parts. You will have 60 minutes to complete your work.

**PART ONE Instructions: Concept Knowledge**

1. Open Google Chrome and navigate to [complete.bpa.org](https://complete.bpa.org).
2. Click on the Secondary Division Competitions button.
3. Enter your BPA Member ID (8-digits) and Password to access your test questions.
4. Answer all questions and submit your test.
5. Move on to Part Two.

**PART TWO: Application Knowledge**

Complete the questions in the rest of this test booklet by filling in the PDF.

**EXAM GUIDELINES:**

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 60 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimals at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

### FINANCIAL WORD PROBLEMS

**Directions:** Solve the following problems and write your answer in the blank provided.

1. \_\_\_\_\_ The escrow department at Statton Bank collects funds from buyers of property and transfers it to sellers. It charges a \$75 set up fee for each account. There is also a \$2.75 per month fee for each collection. It charges sellers \$1.50 each time it sends out a notice of late payment after the third such notice on any one account. What are the total fees collected by the bank on a property sale involving escrow collection of \$220 a month for six years with two late notices?
2. \_\_\_\_\_ Your brother signed a contract to buy roofing for \$10,000. The terms involved paying for the purchase over three years at 10.75% interest. His monthly payment will be \$370. What is his cost of credit?
3. \_\_\_\_\_ What is the interest on a loan of \$10,000 for 60 days at 12%. Assume a banker's year and payment on the due date.
4. \_\_\_\_\_ You sold a lot to Amber for \$40,000. She made a down payment of \$5,000 and financed the rest with terms including a ten-year payment period and interest at an annual percentage rate of 8.14%. The monthly payment amount for this loan is 11.792 for each \$1000 of principal financed. How much does Amber pay you each month?
5. \_\_\_\_\_ Your uncle bought 1,500 shares of stock for \$31.27 per share. The commission on the stock was \$29.15 for the first one thousand shares and \$18.27 for every hundred shares in excess of a thousand. What is the total amount paid for the stock shares?
6. \_\_\_\_\_ Andy and Melissa borrowed \$3,500 from their bank on March 17. They signed a 9.5%, add-on interest note due 120 days from the loan date. On what date is the note due?
7. \_\_\_\_\_ Seth and Sonya bought a home, financed with a 20% down payment and a 30-year 6.75% fixed-rate mortgage for \$142,000. What was the purchase price of their home?
8. \_\_\_\_\_ Hailey's savings account pays simple interest. She started with a deposit of \$1,000. At the end of one year, she had earned \$50 in interest. What is the interest rate on Hailey's account?

**Rule of 72**

Using the Rule of 72, calculate how long each of the following investments will take to double in value. Round your answers to the nearest tenth of a year. Write your answers in the blank cells provided.

| INVESTMENT       | RATE OF RETURN | YEARS TO DOUBLE |
|------------------|----------------|-----------------|
| CD               | 3%             |                 |
| US Treasury Note | 2.66%          |                 |
| Common Stock     | 10%            |                 |
| Money Market     | 1.70%          |                 |
| Preferred Stock  | 6%             |                 |

**Compound Interest**

Jim is going to deposit \$8000 in a CD for four years. He will be earning 2% for four years compounded annually. Show Jim how much money he will have at the end of each year and total interest earned for that year. Round to the nearest cent. Put your answers in the cells provided.

| YEAR   | Beginning Balance | Interest | Ending Balance |
|--------|-------------------|----------|----------------|
| YEAR 1 |                   |          |                |
| YEAR 2 |                   |          |                |
| YEAR 3 |                   |          |                |
| YEAR 4 |                   |          |                |

**CHECK REGISTER:**

Using the following information, complete the check register below. Write neatly and clearly. **All entries must be arranged by date.** The beginning balance was \$3,182.70.

**Checks written:**

Check #2001 was written for \$580.00 to Commerce Insurance on 3/1 to pay for car insurance.  
Check#2003 was written for \$256.00 to CVS Pharmacy on 3/4 to pay for prescriptions.  
Check#2004 was written for \$112.00 to Gas, Inc. on 3/7 to pay the heating bill.

**ATM transactions: CODE--ATM**

Withdrew \$180.00 on 3/3.  
Made a deposit of \$425.00 on 3/12.

**Debit Card transactions: CODE--DC**

Card was used to pay for a movie at What’s Showing, \$40.00, on 3/6.  
Card was used to pay for gas at Sheetz’s, \$60.00, on 3/13.  
Card was used to buy a video game at Game Stop, \$36.00, on 3/16.  
Card was used to pay for concert tickets at TicketMaster, \$120.00, on 3/18.

**Online banking: CODE--EFT**

Directed bank to electronically send a payment to the electric company for \$189.00 on 3/8.  
Directed bank to electronically transfer \$400.00 from the checking account to a savings account on 3/14.

**Other activity:**

A service charge of \$5.00 was automatically deducted from the account by the bank on 3/19.

| No. or Code | Date | Transaction Description | Payment, Fee, Withdrawal | ✓ | Deposit/ Credit | Balance |
|-------------|------|-------------------------|--------------------------|---|-----------------|---------|
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